

I used lots of technical evidence to support an upward move in the coming days, including hope that this would bust a downward breakout from a large symmetrical triangle I saw on the weekly scale. I threw in some indicators, too (MACD, Bollinger bands, Fibonacci retraces and extensions, all of which I no longer use). The busted downward breakout from the weekly triangle didn't happen.

Price in the complex head-and-shoulders bottom continued lower. I sold at D and lost 7%.



Figure 40.5 This trade in a triple busted complex head-and-shoulders bottom lost money because price continued down after a throwback.

At E, the stock busted the upward breakout when it closed below the head low. The stock didn't drop more than 10% before reversing and closing above the top of the chart pattern. That happened at F, and it busted the head-and-shoulders for the second time. The stock continued to move sideways until May 2006, busting the pattern for the third time along the way.

This entry was bad timing on the throwback.

- Lesson: A good way to prevent buying too early after a throwback (when price is still dropping) is to wait for price to break out upward